

SFS-004 — Gharar, Maysir, and Risk Transfer Products

Internal Sharia Compliance Manual · Mal Islamic Bank — Sharia Supervisory Board

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§1 Scope

§1.1 This document governs *gharar* (excessive uncertainty in a contract) and *maysir* (gambling), and applies them to derivatives, hedging instruments, insurance, and any product whose return depends on an uncertain event.

§2 Gharar

§2.1 *Gharar* means uncertainty or ambiguity in the essential terms of a contract: the subject matter, the price, the quantity, the time of delivery, or whether delivery will occur at all.

§2.2 Only *excessive* gharar invalidates a contract. Minor uncertainty that is unavoidable in ordinary commerce is tolerated.

§2.3 Gharar is excessive where it concerns a fundamental term, where it could have been avoided by better specification, and where it exposes a party to a loss they could not reasonably assess at the point of contracting.

§2.4 Selling what one does not possess and cannot reliably deliver is a paradigm case of excessive gharar. Compare the ownership requirement at [SFS-002 §3.2].

§2.5 Ordinary commercial uncertainty — the possibility that a genuine investment performs poorly — is not gharar. A Mudarabah account whose return varies with performance is permissible on this ground. See [SFS-005 §3].

§3 Maysir

§3.1 *Maysir* means the acquisition of wealth by chance at another's expense, where each party stands to gain only if the other loses.

§3.2 A transaction is maysir where the outcome depends on an uncertain future event, the parties' positions are strictly opposed, and no productive activity or genuine risk transfer underlies it.

§3.3 Conventional options, futures held purely for speculation, contracts for difference, and spread betting fall within maysir and are not permissible.

§3.4 The distinguishing question is whether the contract creates risk that did not previously exist, or transfers risk that already exists. The former is maysir; the latter may be legitimate.

§4 Hedging

§4.1 Hedging a genuine, existing commercial exposure is distinguishable from speculation. Permissibility turns on the presence of the exposure and the structure of the instrument.

§4.2 A hedging instrument used against an actual underlying position **requires review** rather than automatic rejection.

§4.3 The Bank must be able to evidence the underlying exposure, its size, and its tenor. A hedge materially exceeding the exposure it purports to cover is speculation to the extent of the excess.

§5 Insurance and takaful

§5.1 Conventional commercial insurance is not permissible for the Bank's own cover or for sale to customers. It combines gharar (the premium buys an uncertain and possibly non-existent payout), maysir (the insurer gains if no claim arises, the insured if one does), and riba (premium reserves invested in interest-bearing instruments).

§5.2 *Takaful* is the permissible alternative. Participants contribute to a mutual fund on the basis of donation (*tabarru'*), losses are met from the pooled fund, the operator manages the fund for a fee or profit share rather than underwriting the risk, and surplus is returned to participants.

§5.3 A takaful arrangement whose operator guarantees a payout from its own capital, or retains the underwriting surplus as its own profit, reproduces the defects at §5.1 and is not permissible.

§5.4 Where takaful cover is genuinely unavailable in a market and cover is legally required, conventional cover **requires review** and may be permitted as a documented necessity for the minimum period and scope required.

§6 Assessment criteria

§6.1 A product is **non-compliant** where its return depends wholly on an uncertain event with no underlying asset or productive activity.

§6.2 A product is **non-compliant** where it is structured as a zero-sum wager between the Bank and the customer.

§6.3 A product is **non-compliant** where it is conventional insurance sold or purchased in a market where takaful is available.

§6.4 A product **requires review** where uncertainty exists but may be reducible by clearer specification of subject matter, price, or delivery.

§6.5 A product **requires review** where it hedges a genuine exposure, pending evidence of the underlying position and confirmation that the hedge does not exceed it.

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- AAOIFI Shari'ah Standards — principles concerning gharar, options and insurance
- IFSB-8: Guiding Principles on Governance for Takaful Undertakings